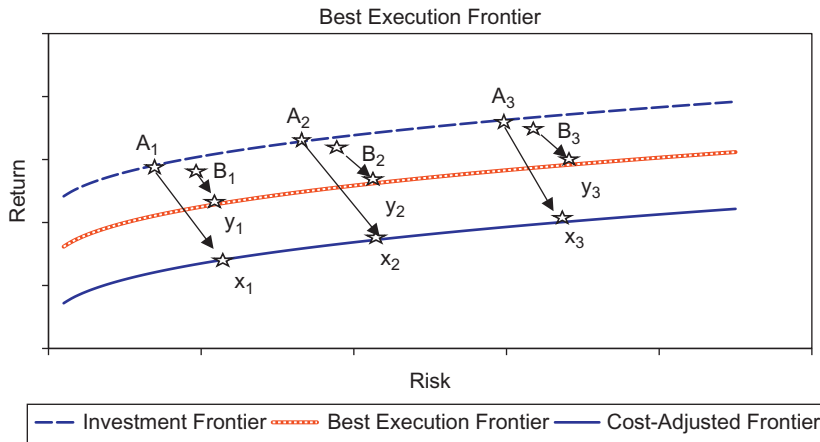




■ **Figure 10.8** Best Execution Frontier. *Source: Journal of Trading (2007).*

that appear suboptimal prior to trading but after trading they result in portfolios that achieve a higher risk-return trade-off and investor utility than starting with the optimal portfolio. Notice that the utility associated with the best execution frontier is higher than the utility associated with the cost-adjusted frontier.

While it is not guaranteed that a suboptimal portfolio will always result in a higher cost-adjusted frontier, it is entirely possible. The best execution frontier can only be uncovered via incorporation of trading costs and risks directly in the portfolio optimization decision. For many portfolio managers, the quest for the best execution frontier has become the next generation of portfolio research. This is exactly what Wayne Wagner was referring to when he defined best execution as the process of maximizing the investment idea.

PORTFOLIO CONSTRUCTION WITH TRANSACTION COSTS

The integration of transaction costs into the investment decision process has been previously addressed in the academic literature. For example, Leland (1996) studied the appropriate time to rebalance a portfolio consisting of stocks and bonds in the presence of transaction costs. Michaud (1998) introduces a portfolio optimization technique based on Monte Carlo methods to construct optimal portfolios in the presence of risk and return uncertainty. Ginold and Kahn (2000) examined various techniques